

PROJECT PROPOSAL

Smart Employee Salary Advance & Micro-Credit Web Application

1. Background Problem Statement

In many small and medium companies, employees often request early salary (salary advance) due to urgent financial needs.

Currently, this process is:

- Manual (paper-based or Excel)
- Slow approval process
- No risk evaluation system
- No automatic repayment tracking
- Difficult to monitor outstanding loans

This creates:

- Financial management problems
- Human errors
- Lack of transparency
- High repayment risk

Therefore, a smart digital system is needed to automate salary advance management with risk evaluation and automatic payroll deduction.

2. Project Objective

The objective of this project is to develop a full web-based banking-like system that:

- Allows employees to request salary advances
- Automatically evaluates risk score
- Approves or rejects loan requests intelligently
- Automatically deducts repayment from monthly salary
- Provides financial analytics for administrators

3. Proposed Solution

This project will build an internal company micro-credit system inspired by financial technology platforms such as:

- Revolut
- Klarna

However, the system will be simplified and customized for company internal usage.

The system introduces:

- Risk scoring engine
- Automatic loan approval logic
- Automated payroll deduction
- Financial health scoring
- Admin analytics dashboard

4. System Scope

➤ Employee Features

- Login & authentication
- View profile & salary
- View wallet balance
- Request salary advance
- View loan history
- View transaction history
- View financial health score

➤ Admin Features

- Create and manage employees
- Generate monthly salary
- Approve medium-risk loans
- View analytics dashboard
- Monitor outstanding loans
- Monitor repayment rate

➤ Smart Features

- Risk scoring engine
- Auto approval for high score
- Automatic salary deduction
- Loan status tracking
- Financial health badge system

5. Risk Scoring Engine Design

The system calculates a score based on:

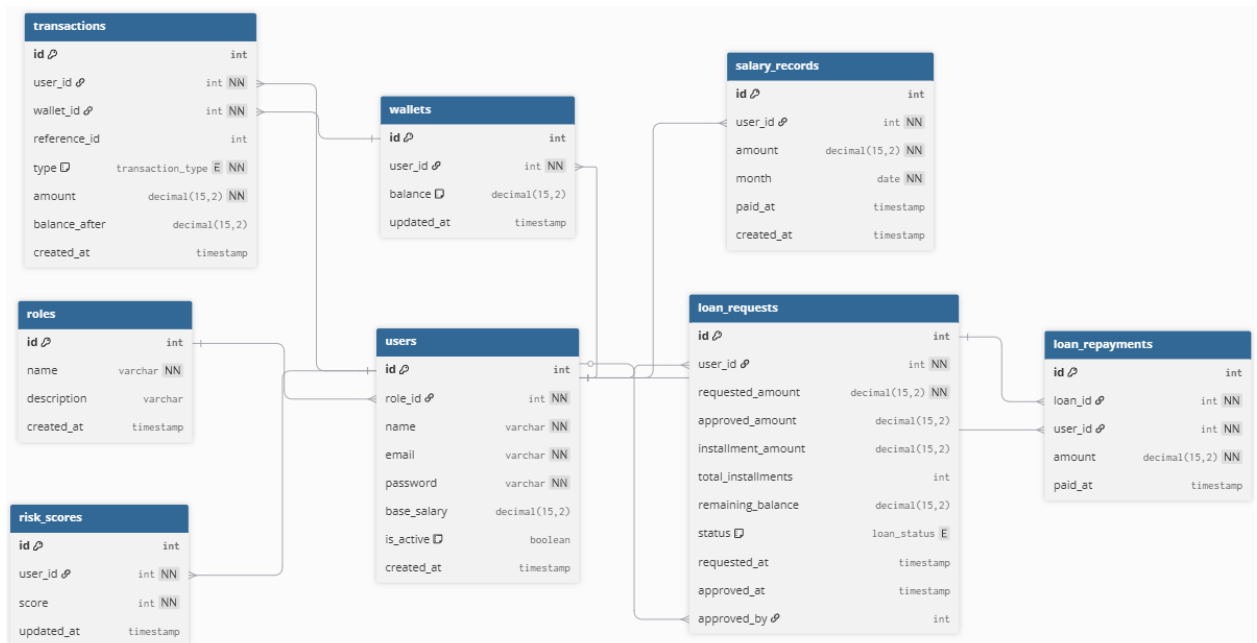
Criteria	Weight
Attendance rate	40%
Repayment history	30%
Salary stability	20%
Existing debt	10%

Score Result:

- 80–100 → Auto Approved
- 50–79 → Admin Review
- Below 50 → Rejected

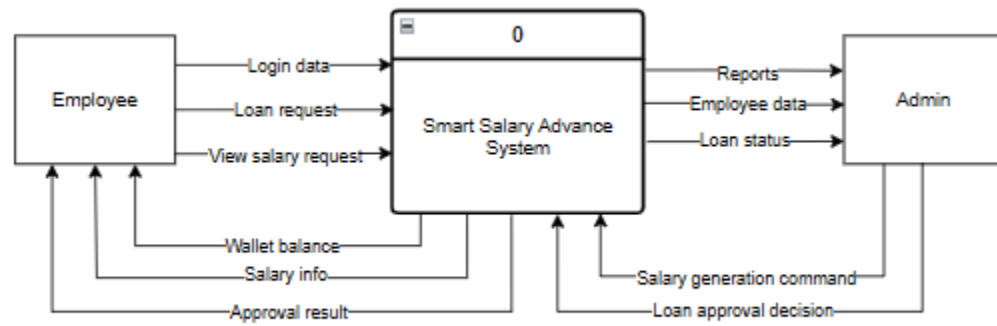
This feature makes the system intelligent and creative compared to traditional loan systems.

6. Database Design

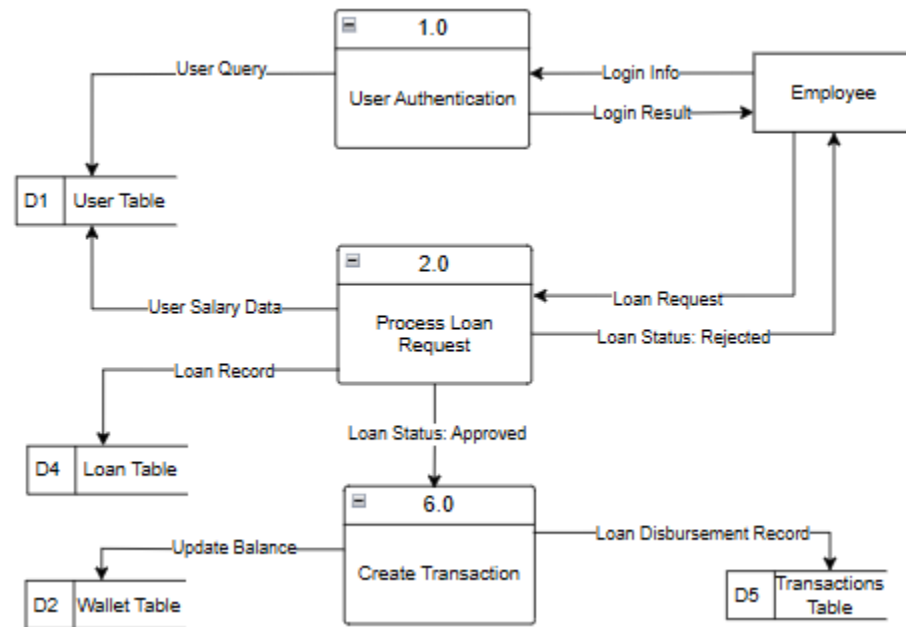


7. Flow and Diagram

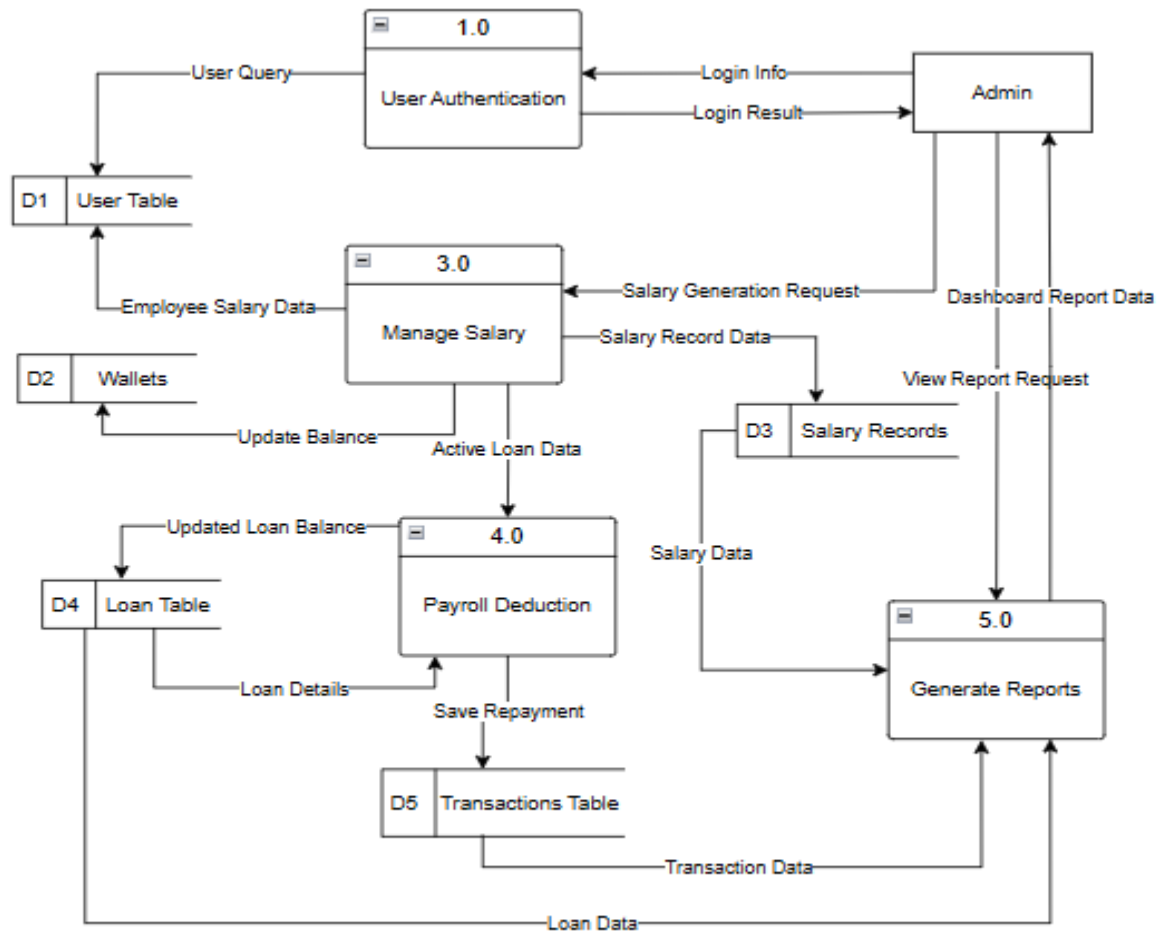
➤ Context Diagram Level 0



➤ Data Flow Diagram - Employee Flow



- Admin Flow



8. Expected Outcomes

By the end of the project, the system will:

- Automate salary advance approval
- Reduce manual financial processing
- Provide smart credit scoring
- Improve financial transparency
- Demonstrate real fintech logic

9. Conclusion

This project presents a modern and intelligent approach to internal employee financial management by combining:

- Micro-credit system

- Risk-based approval
- Automated payroll deduction
- Financial analytics

It simulates a simplified fintech system while maintaining realistic banking logic.

The project is feasible within one month and demonstrates strong backend, database, and system design skills.